

as one in harmony with both the popular understanding of the term and the requirements of reasonable precision:

*An investment operation is one which, upon thorough analysis, promises safety of principal and a satisfactory return. Operations not meeting these requirements are speculative.*

Certain implications of this definition are worthy of further discussion. We speak of an *investment operation* rather than an issue or a purchase, for several reasons. It is unsound to think always of investment character as inhering in an issue *per se*. The price is frequently an essential element, so that a stock (and even a bond) may have investment merit at one price level but not at another. Furthermore, an investment might be justified in a group of issues, which would not be sufficiently safe if made in any one of them singly. In other words, diversification might be necessary to reduce the risk involved in the separate issues to the minimum consonant with the requirements of investment. (This would be true, in general, of purchases of common stocks for investment.)

In our view it is also proper to consider as investment operations certain types of arbitrage and hedging commitments which involve the sale of one security against the purchase of another. In these operations the element of safety is provided by the combination of purchase and sale. This is an extension of the ordinary concept of investment, but one which appears to the writers to be entirely logical.

The phrases *thorough analysis*, *promises safety*, and *satisfactory return* are all chargeable with indefiniteness, but the important point is that their meaning is clear enough to prevent serious misunderstanding. By *thorough analysis* we mean, of course, the study of the facts in the light of established standards of safety and value. An "analysis" that recommended investment in General Electric common at a price forty times its highest recorded earnings merely because of its excellent prospects would be clearly ruled out, as devoid of all quality of thoroughness.

The *safety* sought in investment is not absolute or complete; the word means, rather, protection against loss under all normal or reasonably likely conditions or variations. A safe bond, for example, is one which could suffer default only under exceptional and highly improbable circumstances. Similarly, a safe stock is one which holds every prospect of being worth the price paid except under quite unlikely contingencies.